



Time: 5 minutes

Outcome: Trace Entry, Exit & Long-Run Equilibrium.

Difficulty: Intermediate

Entry, Exit & Long-Run Equilibrium

THE CORE IDEA

In monopolistic competition, short-run profit attracts entry and short-run loss causes exit until economic profit is zero. Entry and exit remove economic profit in both models. Excess capacity compares equilibrium Q with minimum-ATC Q.

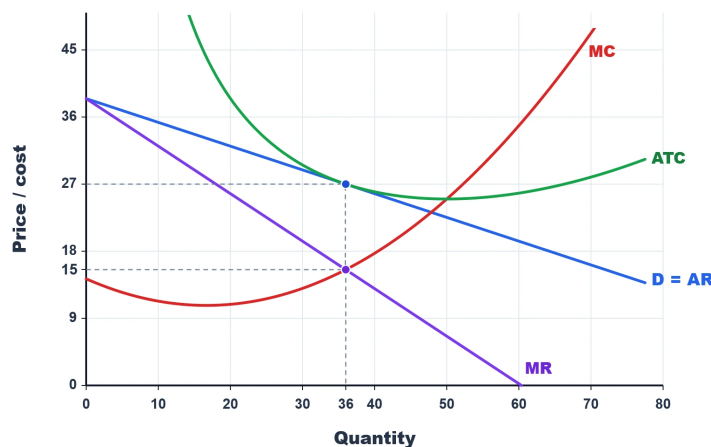
HOW TO RECOGNIZE IT

- Short-run economic profit attracts entry, which reduces each incumbent firm's demand.
- Short-run losses cause exit, which raises the demand facing surviving firms.
- Long-run equilibrium occurs when the firm's demand is tangent to average total cost and economic profit is zero.
- Distinguish zero economic profit from zero accounting profit.

WATCH OUT

A common mistake is to equate zero economic and accounting profit. Entry and exit remove economic profit in both models. Zero economic profit is an entry condition, not proof of allocative or productive efficiency.

WORKED EXAMPLE: ENTRY, EXIT, AND LONG-RUN PROFIT



Short-run profit attracts competing varieties, reducing demand for each incumbent. Adjustment continues until demand is tangent to ATC at the chosen output. The graph shows that endpoint at 36 units and \$27, where revenue and cost both equal \$972. Tangency eliminates economic profit; it does not put output at minimum ATC.

CHECK YOURSELF

What does excess capacity measure?